

January 2025 Finance KPI Dashboard

Aurora Retail Holdings

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1. KPI Overview

Table 1.1 – Key Financial KPIs (January 2025 vs. January 2024)

Metric	Jan 2024	Jan 2025	YoY %
Net Revenue (USD M)	250	265	+6.0%
Gross Margin %	32.0%	32.8%	+80 bps
Opex % of Revenue	23.1%	24.2%	+110 bps
EBITDA (USD M)	22	23	+4.5%
EBITDA Margin %	8.8%	8.7%	-10 bps
Net Income (USD M)	14	15	+7.1%

1.1 Commentary

- Revenue grew 6.0% year-over-year, driven primarily by Marketplace and Essentials.
- Gross margin improved by 80 bps as inbound freight rates remained favorable and private label penetration increased.
- Opex grew faster than sales due to higher store labor hours and incremental marketing spend, resulting in a slight decline in EBITDA margin.

2. Segment and Channel Performance

Table 2.1 – Revenue by Segment (USD M)

Segment	Jan 2024	Jan 2025	YoY %	
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Core Retail	185	192	+3.8%	
Marketplace	25	35	+40.0%	
Services	40	38	-5.0%	

Table 2.2 – Revenue by Channel (USD M)

Channel	Jan 2024	Jan 2025	YoY %	
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Stores	180	183	+1.7%	
Digital	70	82	+17.1%	

2.1 Commentary

- Marketplace and Digital continue to be the primary growth engines.
- Services revenue declined due to lower late fees and a modest shift in cardholder behavior toward debit.

3. Funnel and Operational Metrics (Digital)

Table 3.1 – Digital Funnel Metrics

Metric	Jan 2024	Jan 2025	
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Site Visits (M)	18.0	19.5	
Conversion Rate	3.6%	3.5%	
Average Order Value (USD)	58	60	
Same-Day Orders as % of Digital	58%	64%	
Order Cancellation Rate	1.9%	2.2%	

3.1 Commentary

- Traffic increased 8.3%, but conversion rate declined slightly due to heavier assortment in early-season apparel and ongoing experimentation on the homepage.
- Same-day orders continue to grow as a share of digital volume, which is positive for customer satisfaction but puts pressure on fulfillment cost.
- Cancellation rates ticked up, driven by system issues on a new recommendation engine rollout; remediation is in progress.

4. Variance Analysis – Operating Margin

4.1 Bridge from January 2024 to January 2025 EBITDA (USD M)

- Starting EBITDA (Jan 2024): 22
- Volume / Mix impact: +3
- Gross margin rate: +1
- Store labor: -2
- Marketing: -1
- Technology & other opex: 0
- Ending EBITDA (Jan 2025): 23

4.2 Commentary

- Positive drivers:

- Higher sales volume and richer product mix added approximately USD 4M of EBITDA.
- Gross margin rate improvements contributed ~USD 1M.

- Negative drivers:

- Store labor investments (wage rate and additional hours) reduced EBITDA by ~USD 2M.
- Incremental marketing spend to support Marketplace growth reduced EBITDA by ~USD 1M.

5. Cash Flow and Working Capital Snapshot

Table 5.1 – Cash Flow Highlights (USD M, month)

Metric	Jan 2024	Jan 2025
Cash Flow from Operations	20	24
Capital Expenditures	(9)	(11)
Free Cash Flow	11	13
Inventory Days	58	60
Payables Days	52	55
Receivables Days	12	12

5.1 Commentary

- Cash flow from operations improved due to higher profitability and stable working capital metrics.
- Inventory days increased modestly as we built inventory in certain seasonal categories ahead of a promotion period.
- Payables days improved as we negotiated extended terms with key suppliers.

6. Key Takeaways and Actions

- Focus for next month:
 - Tighten store labor scheduling to protect EBITDA margin.
 - Monitor Marketplace return rates and refine seller quality rules.
 - Complete remediation of digital cancellation issues related to the recommendation engine.